kotak Institutional Equities

Strategy

March 13, 2026

Operation Epic Churn

We see the recent correction in the market and stock prices due to the ongoing conflict between Iran and Israel-US and resultant dislocations in stock prices as an opportunity to (1) add 'better' stocks, (2) remove 'narrative' stocks and (3) reduce positions in expensive cement and consumer stocks. A churn in portfolios may be the best option, given the circumstances.

Short-term conflict base case scenario for now

The duration and extent of the ongoing conflict between Iran and US-Israel remain highly uncertain, given (1) different objectives and 'pain' thresholds of different actors and (2) the unpredictable nature and outcome of conflicts. For now, we assume (1) a few weeks of high-intensity conflict, (2) several months of heightened tensions and (3) normalization of trade in oil and gas through the Strait of Hormuz (SoH) over the next few weeks as our base case scenario.

Assessing collateral damage to India—limited if conflict is over in a few weeks

The impact on BoP is relatively straightforward, with a US$10/bbl change in crude price and related change in natural gas price impacting India's CAD by US$20 bn (0.5% of GDP) on an annualized basis; see Exhibit 1. The impact on the fiscal is more nuanced and will depend on the extent of the conflict and the sharing of higher costs between companies (PSUs), customers and government (see Exhibit 2 for a few hypothetical scenarios). The impact on growth will depend on the availability of crude, gas and refined products, which have been disrupted through the SoH (see Exhibits 3-6).

Too early to assess earnings impact, although downside risks have increased

We do not see material risks to our earnings estimates (see Exhibits 7-9), except for the oil, gas & consumable fuels sector, from the higher oil prices if elevated oil prices were to last beyond a few weeks. We expect (1) pure refiners and upstream oil & gas companies to see a short-term earnings boost on higher refining margins and oil prices, (2) downstream oil & gas companies to see earnings cuts; they may not be able to pass on the higher crude prices to customers based on past form; India has several forthcoming state elections (see Exhibit 10) and (3) downstream users of petroleum products will see varying short-term earnings impact but no long-lasting damage.

Churning portfolios while waiting for more clarity to emerge

We see the sharp correction in stock prices and dislocation in parts of the market as an opportunity for investors to review their portfolios and make appropriate changes. The haphazard correction in stock prices across caps (see Exhibits 11-13), sectors (see Exhibit 14) and companies would imply a permanent decline in companies' earnings, which is clearly invalid. We recommend reducing positions in cement, consumer staples and 'narrative' stocks, which trade at high or inexplicable valuations and adding to financials and other sectors (see Exhibits 15-21 for valuations across sectors and stocks), which have fallen sharply on unjustified concerns.

Key estimates summary

	2026E	2027E	2028E
Nifty estimates			
Earnings growth (%)	8.2	16.2	14.8
Nifty EPS (Rs)	1,072	1,246	1,432
Nifty P/E (X)	22.0	19.0	16.5
Macro data			
Real GDP (%)	7.6	7.0	6.8
Avg CPI inflation (%)	2.1	4.1	4.0

Source: Company data, Kotak Institutional Equities estimates

Quick Numbers

The Nifty-50 Index has fallen 6%, the Nifty 100 Midcap Index has fallen 5% and the Nifty 100 Small Cap Index has fallen 4% since February 27, 2026

We expect net profits of the Nifty-50 Index to increase 16% in FY2027E and 15% in FY2028E, although downside risks have increased

Nifty-50 Index is trading at 19X FY2027E 'EPS' and 16.5X FY2028E 'EPS'

Full sector coverage on KINSITE

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Sanjeev Prasad
sanjeev.prasad@kotak.com
+91-22-4336-0830

Anindya Bhowmik
anindya.bhowmik@kotak.com
+91-22-4336-0897

Sunita Baldawa
sunita.baldawa@kotak.com
+91-22-4336-0896

jimit.harde-kotak.com

Short-term concerns weighing on stock prices—1-2 quarters hardly matter in a company's life

The market seems to be worried about the negative impact of reduced LPG and natural gas supplies on (1) the profitability of companies, especially MSME companies and (2) higher credit costs for lenders. We see the market's concerns with respect to both as overblown. We do not see long-standing damage to businesses based on a few weeks of disruption of energy supplies. Similarly, the concerns around higher credit costs for lenders may be overdone, as lower LPG and natural gas supplies for a few weeks or months may not lead to a permanent impairment in the financials of borrowers. We would assume that most companies will have some stock of finished products (a few weeks) that can support revenues and cash flows until the natural gas supply situation normalizes (assuming the disruption of natural gas supplies lasts a few weeks). Companies could manage by depleting the inventory with them or in the channel.

We would note that the cash flows or earnings pertaining to 1-2 quarters of a company will account for a very small portion of a company's value. Thus, the large 10-15% cut in stock prices of several stocks since the beginning of the Iran-US/Israel conflict may be unwarranted. It would seem that the market is assuming (1) a permanent cut in earnings of companies and/or (2) a permanent increase in the cost of capital/equities, given heightened geopolitical risks.

We would refute the former, but would take note of the latter, even if investors may be looking at this point from the near-term lens of the Iran-US/Israel conflict. We have long argued about the higher cost of capital in light of (1) higher geopolitical risks, (2) a higher risk-free rate versus the post-GFC, pre-Covid period and (3) a higher equity risk premium to factor in significantly higher disruption risks (geopolitical, policy and technological).

In our view, large parts of the market are still being valued incorrectly, with investors relying on historical frameworks and perspectives, which may be less relevant or irrelevant in a changed and changing environment. In other words, the multiples or discount rates being used by the market do not appropriately price in macro (geopolitical) or micro (disruption threats in many sectors) risks. We expect most parts of the market to see de-rating in multiples over the next 1-3 years (see Exhibit 22) as the disruption risks become more visible to the market.

Model portfolio changes—minor changes

We remove IIB (220 bps) from the recommended model portfolio (see Exhibit 23) and allocate the same to BJFIN (160 bps to 480 bps now) and Eternal (60 bps to 210 bps). IIB is quite inexpensive at current levels (1X one-year forward BV), but we find better opportunities elsewhere given the sharp correction in other parts of the market.

BJFIN's stock has fallen 11% and Eternal's stock has fallen 10% since February 27, 2026 (the start of the Iran-US/Israel conflict). We like the long-term prospects of these companies compared with IIB's. Our 12-month fair values of BJFIN (Rs2,500) and Eternal (Rs375) offer 41% and 70% potential upsides, respectively, over the next 12 months. We note (1) moderate downside risks to near-term earnings and fair values and (2) near-term volatility in stock prices, but do not see any fundamental change in the business model or value of the companies.

US$10/bbl crude price change is about 0.5% of GDP

Exhibit 1: Impact of crude oil and natural gas on BoP, March fiscal year-ends, 2027E (US$ bn)

Crude and product imports (mn bbl)	2,344
Product exports (mn bbl)	556
Net imports of crude (mn bbl)	1,788
Impact of US$10/bbl increase in crude (US$ bn)	**18**
LNG imports (mn bbl)	242
Impact of US$10/bbl increase in crude equivalent of gas (US$ bn)	**2**
Total impact (US$ bn)	**20**
Total impact (% of GDP)	**0.5**

Source: PPAC, Kotak Institutional Equities estimates

Higher under-recoveries from higher crude oil prices

Exhibit 2: Impact of US$20/bbl higher crude price on various stakeholders

Impact of negative margin on diesel and gasoline	
Impact of US$20/bbl higher crude price (Rs/ liter)	12
Total volumes sold by OMCs (bn liters)	150
Likely impact (Rs bn)	1,755
Impact of negative margin on LPG	
Impact of US$20/bbl higher crude price (Rs/ ton)	21,576
Total volumes sold by OMCs to households (mn tons)	30
Likely impact (Rs bn)	647
Total impact due to US$20/bbl higher crude prices (Rs bn)	**2,402**

Duration of shock	Impact (Rs bn)
(1) Three months	601
Likely share of OMCs	439
Likely share of government	162
(2) Six months	1,201
Share of OMCs	601
Share of government (balance amount)	601
(3) 12 months	2,402
Share of OMCs (capped at Rs600 bn)	601
Share of government (50% of balance)	901
Share of customers (50% of balance)	901

Notes:
(a) We assume LPG losses will be subsidized by the government on a pro rata basis up to 50% of incremental under-recoveries.

Source: Kotak Institutional Equities estimates

20% of global crude and product volumes flow through the Strait of Hormuz (SoH)

Exhibit 3: Oil & petroleum products flow through the SoH, 2020 onward (mn b/d)

	2020	2021	2022	2023	2024	1QCY25
Crude oil/condensates	14.3	14.4	16.0	15.5	14.3	14.2
Petroleum products	4.8	5.0	5.5	5.8	5.9	5.9
Total flows (mb/d)	19.1	19.4	21.4	21.4	20.3	20.1
World maritime oil trade	71	73	74	76	76	76
SoH share of global oil trade (%)	**27**	**27**	**29**	**28**	**27**	**27**
World POL consumption	91	97	100	102	103	102
SoH share of world POL consumption (%)	**21**	**20**	**22**	**21**	**20**	**20**

Source: US EIA, Kotak Institutional Equities

Over 80% of oil exports through SoH go to Asian countries

Exhibit 4: Country-wise oil imports through Strait of Hormuz, since 2020 (mb/d)

	2020	2021	2022	2023	2024	1QCY25
China	4.0	4.2	4.5	5.0	4.8	5.4
India	2.2	2.3	2.4	2.0	1.9	2.1
South Korea	1.7	1.4	1.7	1.7	1.7	1.7
Japan	1.9	1.8	1.9	1.7	1.5	1.6
Other Asia	2.0	2.1	2.2	2.1	2.1	2.0
Europe	0.6	0.5	0.9	1.0	0.7	0.5
USA	0.6	0.6	0.7	0.5	0.5	0.4
Other	1.3	1.5	1.6	1.6	1.1	0.6
Total	**14.3**	**14.4**	**16.0**	**15.5**	**14.3**	**14.2**
Asia share (%)	83	81	80	80	84	89
India share (%)	**16**	**16**	**15**	**13**	**13**	**15**

Source: US EIA, Kotak Institutional Equities

20% of global LNG volumes flow through the Strait of Hormuz (SoH)

Exhibit 5: Qatar and UAE LNG exports and share in global LNG trade, 2020 onward (mmt, %)

	2020	2021	2022	2023	2024	2025
Qatar	77.5	78.6	79.9	78.7	77.3	81.0
UAE	5.3	5.7	5.1	5.0	5.6	4.7
SoH (Qatar + UAE)	**83**	**84**	**85**	**84**	**83**	**86**
Global LNG trade	356	372	402	401	411	437
SoH share (%)	**23**	**23**	**21**	**21**	**20**	**20**

Source: IGU, Refinitive, Kotak Institutional Equities

Over 80% LNG trade via SoH goes to Asia, with 17-19% to India

Exhibit 6: Country-wise imports of LNG through the Strait of Hormuz, since 2020 (bcf/d)

	2020	2021	2022	2023	2024	1QCY25
China	1.1	1.3	2.1	2.2	2.5	2.7
India	**1.8**	**1.6**	**1.7**	**1.8**	**1.7**	**2.2**
Taiwan	0.7	0.6	0.7	0.7	0.8	1.1
South Korea	1.1	1.5	1.3	1.2	1.2	1.0
Pakistan	0.8	0.8	0.8	0.8	0.9	0.9
Other Asia	2.1	2.1	1.4	1.5	1.5	1.9
Europe	2.7	2.2	2.6	1.9	1.4	1.5
Others	0.5	0.6	0.4	0.4	0.4	0.1
Total	**10.8**	**10.7**	**11.0**	**10.5**	**10.4**	**11.4**
Asia share (%)	70	74	73	78	83	86
India share (%)	**17**	**15**	**15**	**17**	**16**	**19**

Source: US EIA, Kotak Institutional Equities

We expect earnings of the Nifty-50 Index to grow 8% in FY2026 and 16% in FY2027E

Exhibit 7: Valuation summary of Nifty-50 sectors (full-float basis), March fiscal year-ends, 2026-28E (based on current constituents)

	Mcap.	Adj. mcap.	Earnings growth (%)			P/E (X)			EV/EBITDA (X)			P/B (X)			Div. yield (%)			RoE (%)		
	(US$ bn)	(US$ bn)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Automobiles & Components	147	76	(16.5)	32.9	16.7	28.0	21.1	18.1	15.4	11.4	9.6	3.9	3.4	3.1	1.4	1.6	1.8	13.8	16.4	16.9
Banks	428	353	2.3	11.3	14.7	16.5	14.8	12.9	—	—	—	2.3	2.0	1.8	1.2	1.3	1.4	13.7	13.6	13.9
Capital Goods	120	71	22.3	17.4	22.2	37.7	32.1	26.3	23.0	19.1	16.2	5.6	5.0	4.5	0.8	0.9	1.1	14.9	15.7	17.1
Commodity Chemicals	23	11	8.0	10.2	12.4	48.9	44.4	39.5	32.0	29.4	26.4	10.4	9.9	9.5	1.5	1.8	2.1	21.2	22.4	24.0
Construction Materials	55	25	40.0	25.3	23.9	36.0	28.7	23.2	13.6	12.0	10.5	2.8	2.6	2.4	0.6	0.6	0.8	7.9	9.2	10.4
Consumer Staples	133	69	3.3	0.9	10.2	34.7	34.4	31.2	25.0	24.3	22.0	8.2	8.0	7.7	2.5	2.6	2.8	23.7	23.2	24.7
Diversified Financials	127	60	20.2	36.8	21.9	27.2	19.9	16.3	—	—	—	2.7	2.3	1.9	0.5	0.7	0.8	10.0	11.7	11.9
Electric Utilities	72	35	(1.1)	8.8	8.5	17.2	15.8	14.5	11.0	10.4	9.9	2.2	2.0	1.8	2.4	2.5	2.6	12.6	12.6	12.6
Health Care Services	23	17	21.3	26.4	32.4	60.4	47.8	36.1	34.1	27.9	22.2	9.6	8.1	6.8	0.2	0.3	0.3	15.8	17.0	18.7
IT Services	227	105	7.7	7.1	7.3	17.8	16.6	15.5	11.6	10.7	10.0	5.6	5.2	4.9	4.4	4.8	5.1	31.5	31.6	31.8
Insurance	36	17	10.4	14.4	15.8	71.6	62.6	54.0	—	—	—	9.7	8.8	7.9	0.3	0.3	0.4	13.6	14.1	14.7
Internet Software & Services	23	17	(55.8)	748.1	98.6	916.9	108.1	54.4	169.1	49.5	29.2	6.8	6.3	5.5	-	-	-	0.7	5.8	10.2
Metals & Mining	81	44	62.1	31.3	18.3	20.1	15.3	13.0	9.4	7.9	7.1	2.3	2.0	1.8	0.9	1.2	1.3	11.5	13.1	13.7
Oil, Gas & Consumable Fuels	273	125	13.5	12.5	10.7	15.7	13.9	12.6	8.7	7.5	6.6	1.8	1.6	1.5	1.5	1.6	1.6	11.3	11.5	11.6
Pharmaceuticals	71	38	(3.5)	2.7	18.7	29.9	29.1	24.5	20.1	18.7	15.9	4.3	3.8	3.4	0.6	0.7	0.8	14.3	13.1	13.8
Retailing	53	27	36.7	16.5	15.3	68.0	58.4	50.7	42.2	35.0	30.0	21.3	16.4	13.0	0.3	0.3	0.4	31.4	28.1	25.6
Telecommunication Services	113	55	39.0	44.0	31.6	36.9	25.7	19.5	9.5	8.0	6.7	7.2	6.1	5.1	1.2	1.5	1.7	19.5	23.9	26.1
Transportation	53	21	(1.9)	46.3	15.1	26.6	18.2	15.8	11.4	8.4	6.9	4.5	3.8	3.1	0.3	0.4	0.5	17.0	20.7	19.8
Nifty-50 Index	**2,057**	**1,166**	**8.2**	**16.2**	**14.8**	**22.3**	**19.2**	**16.7**	**12.8**	**11.0**	**9.7**	**3.2**	**2.8**	**2.5**	**1.5**	**1.7**	**1.8**	**14.2**	**14.7**	**15.1**
Nifty-50 Index (ex-energy)	**1,784**	**1,042**	**7.0**	**17.0**	**15.7**	**23.8**	**20.3**	**17.6**	**14.3**	**12.4**	**10.9**	**3.6**	**3.2**	**2.8**	**1.5**	**1.7**	**1.9**	**15.0**	**15.7**	**16.2**
Nifty-50 Index (ex-banks)	**1,629**	**814**	**10.7**	**18.1**	**14.8**	**24.5**	**20.8**	**18.1**	**12.8**	**11.0**	**9.7**	**3.5**	**3.2**	**2.8**	**1.6**	**1.8**	**2.0**	**14.3**	**15.2**	**15.6**

Notes:
(a) We use consensus numbers for Adani Enterprises, Jio Financial Services and Kotak Mahindra Bank.

Source: Kotak Institutional Equities estimates

Limited direct impact on earnings of Nifty-50 Index from elevated crude prices; upstream oil & gas and pure refiners to benefit currently

Exhibit 8: Breakup of net profits of the Nifty-50 Index across sectors, March fiscal year-ends, 2022-28E (based on current constituents)

	Net profits (Rs bn)							Contribution (%)					Incremental profits 2026E		2027E		2028E	
	2022	2023	2024	2025	2026E	2027E	2028E	2024	2025	2026E	2027E	2028E	(Rs bn)	(%)	(Rs bn)	(%)	(Rs bn)	(%)
Automobiles & Components	45	249	559	579	483	642	749	8	7	6	6	7	(96)	(15)	159	12	107	7
Tata Motors PV	(107)	7	206	182	19	118	169	3	2	0	1	1	(163)	(25)	100	7	51	3
Banks	1,308	1,785	2,059	2,340	2,393	2,664	3,056	28	30	28	27	27	53	8	271	20	392	27
Axis Bank	130	212	249	264	234	301	348	3	3	3	3	3	(30)	(5)	67	5	48	3
HDFC Bank	507	603	608	673	747	836	948	8	9	9	8	8	73	11	89	6	112	8
ICICI Bank	233	319	409	472	496	539	594	6	6	6	5	5	24	4	43	3	55	4
State Bank of India	317	502	611	709	754	790	923	8	9	9	8	8	45	7	36	3	133	9
Capital Goods	117	158	205	239	293	344	420	3	3	3	3	4	53	8	51	4	76	5
Commodity Chemicals	31	42	55	40	44	48	54	1	1	1	—	—	3	—	4	—	6	—
Construction Materials	128	120	132	101	141	177	219	2	1	2	2	2	40	6	36	3	42	3
Consumer Staples	271	318	360	341	352	355	392	5	4	4	4	3	11	2	3	—	36	2
Diversified Financials	145	239	314	358	430	588	717	4	5	5	6	6	72	11	158	11	129	9
Electric Utilities	301	324	364	389	385	419	454	5	5	5	4	4	(4)	(1)	34	2	36	2
Health Care Services	8	17	22	28	34	44	58	—	—	—	—	1	6	1	9	1	14	1
Internet Software & Services	(12)	(10)	4	5	2	20	39	—	—	—	—	—	(3)	(0)	17	1	19	1
IT Services	917	975	1,004	1,095	1,180	1,264	1,356	14	14	14	13	12	85	13	84	6	92	6
Insurance	27	31	35	42	47	53	62	—	1	1	1	1	4	1	7	—	8	1
Metals & Mining	774	248	219	229	370	486	575	3	3	4	5	5	142	22	116	8	89	6
Tata Steel	426	86	34	24	118	167	198	—	—	1	2	2	94	15	48	4	32	2
Oil, Gas & Consumable Fuels	1,229	1,413	1,578	1,414	1,605	1,805	1,998	21	18	19	18	18	192	30	200	15	193	13
Coal India	174	281	374	353	293	343	375	5	4	3	3	3	(60)	(9)	50	4	33	2
ONGC	476	465	509	364	505	535	562	7	5	6	5	5	141	22	30	2	27	2
Reliance Industries	579	667	696	696	807	927	1,061	9	9	9	9	9	110	17	121	9	133	9
Pharmaceuticals	135	160	197	227	219	225	267	3	3	3	2	2	(8)	(1)	6	—	42	3
Retailing	23	37	44	53	72	84	97	1	1	1	1	1	19	3	12	1	13	1
Telecommunication Services	26	90	113	204	283	407	536	2	3	3	4	5	79	12	124	9	129	9
Transportation	(5)	80	172	186	182	267	307	2	2	2	3	3	(4)	(1)	85	6	40	3
Nifty-50 Index	**5,467**	**6,277**	**7,434**	**7,870**	**8,517**	**9,893**	**11,357**	**100**	**100**	**100**	**100**	**100**	**647**	**100**	**1,376**	**100**	**1,464**	**100**
Nifty-50 change (%)	**43.5**	**14.8**	**18.4**	**5.9**	**8.2**	**16.2**	**14.8**											
Nifty-50 Index ex-HPCL & COAL change (%)	**5,287**	**5,933**	**7,026**	**7,477**	**8,139**	**9,498**	**10,932**											
Nifty-50 Index ex-HPCL & COAL change (%)	**44.8**	**12.2**	**18.4**	**6.4**	**8.9**	**16.7**	**15.1**											
Nifty-50 EPS (Free-float)	**730**	**813**	**988**	**1,012**	**1,072**	**1,246**	**1,432**											

Notes:
(a) We use consensus numbers for Adani Enterprises, Jio Financial Services and Kotak Mahindra Bank.
(b) We exclude ONGC's ownership of HPCL for ex-HPCL computation.

Source: Companies, Kotak Institutional Equities estimates

Downstream oil & gas companies may see earnings cut, offsetting positives for the upstream companies in the KIE universe

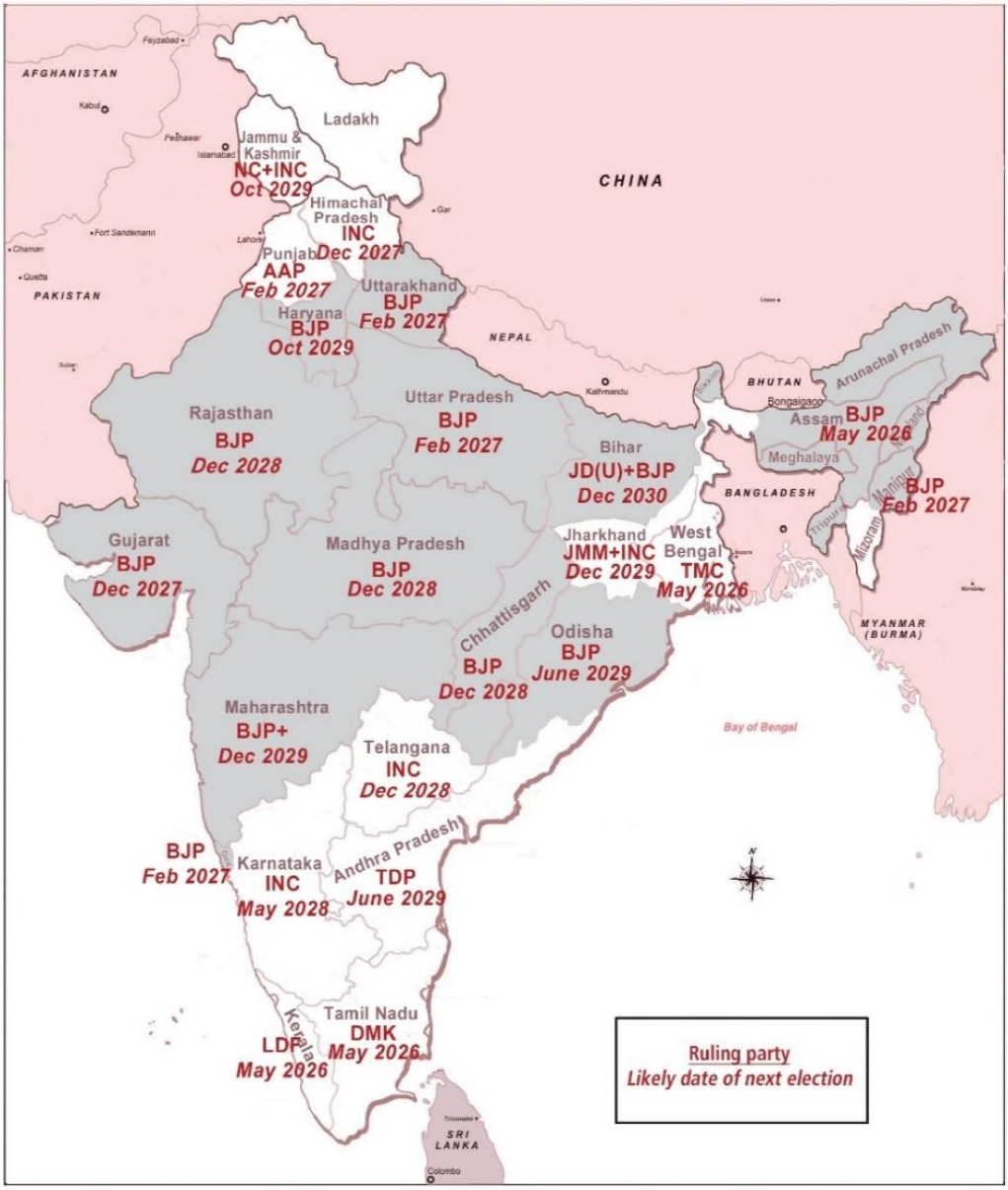
Exhibit 9: Breakup of net profits of the KIE universe across sectors, March fiscal year-ends, 2023-28E

	Net profits (Rs bn)						Contribution (%)					Incremental profits					
												2026E		2027E		2028E	
	2023	2024	2025	2026E	2027E	2028E	2024	2025	2026E	2027E	2028E	(Rs bn)	(%)	(Rs bn)	(%)	(Rs bn)	(%)
Automobiles & Components	433	661	936	917	1,145	1,313	6	8	7	7	7	(19)	(1)	229	12	168	7
Banks	2,024	2,653	3,007	3,091	3,450	3,964	24	25	23	22	22	84	5	360	18	514	22
Capital Goods	221	285	314	393	468	578	3	3	3	3	3	79	5	75	4	110	5
Capital Markets	64	72	112	121	146	170	1	1	1	1	1	10	1	25	1	24	1
Commercial & Professional Services	1	2	4	3	4	7	–	–	–	–	–	(1)	(0)	2	–	3	–
Commodity Chemicals	56	86	64	66	72	82	1	1	–	–	–	2	–	6	–	9	–
Construction Materials	182	215	148	212	280	347	2	1	2	2	2	65	4	68	3	67	3
Consumer Durables & Apparel	63	68	91	90	115	137	1	1	1	1	1	(2)	(0)	25	1	22	1
Consumer Staples	427	488	480	507	529	587	4	4	4	3	3	28	2	22	1	58	2
Diversified Financials	480	600	692	853	1,097	1,309	5	6	6	7	7	161	9	245	12	211	9
Electric Utilities	422	465	496	491	545	626	4	4	4	3	3	(5)	(0)	54	3	81	3
Electronic Manufacturing Services	7	9	15	19	32	45	–	–	–	–	–	4	0	13	1	12	1
Fertilizers & Agricultural Chemicals	46	2	23	37	43	53	–	–	–	–	–	14	1	7	–	9	–
Gas Utilities	109	160	161	142	153	155	1	1	1	1	1	(19)	(1)	10	1	2	–
Health Care Services	42	47	58	67	87	104	–	–	–	1	1	9	1	20	1	16	1
Hotels & Restaurants	20	22	26	43	57	73	–	–	–	–	–	17	1	14	1	16	1
Insurance	418	484	576	675	730	795	4	5	5	5	4	99	6	55	3	65	3
Internet Software & Services	(44)	(7)	(8)	(1)	31	75	(0)	(0)	(0)	–	–	7	–	33	2	44	2
IT Services	1,115	1,157	1,260	1,372	1,483	1,606	10	11	10	9	9	112	6	111	6	123	5
Media	21	25	24	26	27	30	–	–	–	–	–	2	–	2	–	3	–
Metals & Mining	579	502	660	899	1,156	1,346	4	6	7	7	7	239	14	257	13	190	8
Oil, Gas & Consumable Fuels	1,504	2,477	1,809	2,392	2,317	2,502	22	15	17	15	14	583	33	(75)	(4)	185	8
Pharmaceuticals	274	341	399	434	479	570	3	3	3	3	3	35	2	45	2	91	4
Real Estate	97	120	169	203	257	324	1	1	1	2	2	34	2	54	3	67	3
Renewable Energy	4	11	28	55	69	71	–	–	–	–	–	27	2	14	1	2	–
Retailing	67	81	97	124	149	175	1	1	1	1	1	27	2	25	1	26	1
Specialty Chemicals	92	85	92	105	121	142	1	1	1	1	1	13	1	17	1	20	1
Telecommunication Services	(122)	(134)	0	129	302	472	(1)	–	1	2	3	129	7	174	9	169	7
Transportation	88	194	212	226	317	384	2	2	2	2	2	14	1	91	5	67	3
KIE universe	**8,692**	**11,171**	**11,942**	**13,688**	**15,664**	**18,040**	**100**	**100**	**100**	**100**	**100**	**1,746**	**100**	**1,976**	**100**	**2,376**	**100**
KIE universe change (%)		**28.5**	**6.9**	**14.6**	**14.4**	**15.2**											
KIE universe (ex-OMC & COAL)	**8,437**	**9,893**	**11,214**	**12,561**	**14,812**	**17,167**											
KIE universe change (ex-OMC & COAL) (%)		**17.3**	**13.4**	**12.0**	**17.9**	**15.9**											

Source: Kotak Institutional Equities estimates

A number of major states to have state elections over the next one year

Exhibit 10: Map of India with likely date of the next assembly elections



Source: Election Commission, Kotak Institutional Equities

Large correction in stock prices of several large-cap. stocks over the past one month

Exhibit 11: 1M, 3M, 6M, 12M and CYTD performance of stocks in Nifty-50 Index (sorted on 1M basis)

			Performance (%)				
	Company	GICS sector	1M	3M	6M	12M	YTD
	Nifty-50 Index		**(8)**	**(9)**	**(6)**	**5**	**(10)**
1	Eternal	Internet Software & Services	(26)	(26)	(31)	8	(20)
2	Trent	Retailing	(18)	(13)	(31)	(30)	(17)
3	Mahindra & Mahindra	Automobiles & Components	(16)	(18)	(16)	14	(18)
4	Tata Motors PV	Automobiles & Components	(15)	(7)	(25)	(20)	(12)
5	Maruti Suzuki	Automobiles & Components	(15)	(21)	(15)	12	(22)
6	Ultratech Cement	Construction Materials	(15)	(5)	(10)	5	(6)
7	Interglobe Aviation	Transportation	(15)	(13)	(26)	(10)	(16)
8	Bajaj Finance	Diversified Financials	(14)	(15)	(14)	2	(13)
9	Bajaj Finserv	Diversified Financials	(13)	(15)	(15)	(3)	(13)
10	Eicher Motors	Automobiles & Components	(12)	(4)	1	39	(5)
11	Tech Mahindra	IT Services	(12)	(14)	(12)	(6)	(15)
12	Kotak Mahindra Bank	Banks	(12)	(14)	(5)	(5)	(15)
13	ICICI Bank	Banks	(11)	(7)	(11)	2	(6)
14	Hindustan Unilever	Consumer Staples	(11)	(5)	(16)	(1)	(8)
15	TCS	IT Services	(11)	(23)	(21)	(29)	(23)
16	L&T	Capital Goods	(11)	(9)	4	16	(9)
17	Bharti Airtel	Telecommunication Services	(11)	(14)	(5)	10	(14)
18	Adani Ports and SEZ	Transportation	(10)	(9)	(0)	23	(5)
19	HDFC Bank	Banks	(10)	(17)	(14)	(2)	(16)
20	Adani Enterprises	Capital Goods	(9)	(12)	(16)	(11)	(11)
21	Jio Financial Services	Diversified Financials	(9)	(19)	(22)	7	(18)
22	State Bank of India	Banks	(9)	13	32	50	10
23	Infosys	IT Services	(9)	(21)	(17)	(20)	(22)
24	Grasim Industries	Construction Materials	(9)	(6)	(5)	11	(6)
25	HDFC Life Insurance	Insurance	(8)	(17)	(17)	2	(14)
26	HCL Technologies	IT Services	(8)	(19)	(7)	(12)	(16)
27	Tata Consumer Products	Consumer Staples	(8)	(8)	(4)	12	(11)
28	Axis Bank	Banks	(8)	(4)	12	22	(3)
29	Asian Paints	Commodity Chemicals	(8)	(20)	(13)	(1)	(20)
30	Wipro	IT Services	(8)	(22)	(20)	(25)	(23)
31	Tata Steel	Metals & Mining	(7)	13	14	29	7
32	Bajaj Auto	Automobiles & Components	(7)	2	2	22	(2)
33	Nestle India	Consumer Staples	(6)	(1)	0	11	(5)
34	JSW Steel	Metals & Mining	(6)	4	7	16	1
35	Shriram Finance	Diversified Financials	(5)	22	63	62	4
36	ITC	Consumer Staples	(4)	(24)	(27)	(26)	(25)
37	SBI Life Insurance	Insurance	(4)	(4)	6	38	(5)
38	Max Healthcare	Health Care Services	(4)	(6)	(14)	3	(2)
39	Reliance Industries	Oil, Gas & Consumable Fuels	(4)	(11)	(0)	11	(11)
40	Titan Company	Retailing	(3)	6	16	37	2
41	ONGC	Oil, Gas & Consumable Fuels	(2)	14	16	21	13
42	Cipla	Pharmaceuticals	(0)	(13)	(16)	(9)	(12)
43	Apollo Hospitals	Health Care Services	0	7	(4)	23	8
44	Hindalco Industries	Metals & Mining	1	14	28	41	9
45	Bharat Electronics	Capital Goods	2	16	14	64	14
46	Power Grid	Electric Utilities	3	15	6	14	15
47	Dr Reddy's Laboratories	Pharmaceuticals	3	3	0	19	4
48	NTPC	Electric Utilities	6	20	18	18	19
49	Sun Pharmaceuticals	Pharmaceuticals	6	2	13	9	6
50	Coal India	Oil, Gas & Consumable Fuels	12	23	19	23	18

Source: Bloomberg, Kotak Institutional Equities

Large correction in stock prices of several mid-cap. stocks in the past one month

Exhibit 12: 1M, 3M, 6M, 12M and CYTD performance of stocks in Nifty Midcap Index (sorted on 1M basis)

	Company Name	GICS sector	Performance (%) 1M	3M	6M	12M	YTD
	Nifty Midcap 100 Index		**(7)**	**(7)**	**(3)**	**16**	**(7)**
1	KPIT Technologies	Information Technology	(25)	(46)	(46)	(46)	(43)
2	Coforge	Information Technology	(22)	(40)	(37)	(25)	(33)
3	IDFC First Bank	Financials	(21)	(21)	(10)	19	(24)
4	Prestige Estates	Real Estate	(20)	(25)	(19)	12	(21)
5	Muthoot Finance	Financials	(20)	(15)	11	47	(15)
6	Vodafone Idea	Communication Services	(17)	(18)	25	35	(11)
7	Swiggy	Consumer Discretionary	(17)	(33)	(33)	(19)	(27)
8	UPL	Materials	(16)	(16)	(9)	3	(21)
9	Ashok Leyland	Industrials	(15)	9	33	82	(0)
10	HPCL	Energy	(15)	(16)	(4)	17	(23)
11	Tata Communications	Communication Services	(15)	(19)	(10)	(4)	(21)
12	Jubilant Foodworks	Consumer Discretionary	(15)	(21)	(27)	(23)	(17)
13	ITC Hotels	Consumer Discretionary	(14)	(18)	(36)	(7)	(20)
14	Vishal Mega Mart	Consumer Discretionary	(14)	(21)	(30)	4	(22)
15	HDFC AMC	Financials	(14)	(9)	(16)	29	(9)
16	ACC	Materials	(14)	(19)	(23)	(23)	(18)
17	IRCTC	Industrials	(14)	(20)	(26)	(23)	(22)
18	Waaree Energies	Information Technology	(14)	(8)	(25)	29	(8)
19	Persistent System	Information Technology	(14)	(26)	(13)	(9)	(25)
20	Motilal Oswal	Financials	(13)	(19)	(24)	20	(19)
21	Tata Elxsi	Information Technology	(13)	(14)	(24)	(18)	(17)
22	FSN E-Commerce	Consumer Discretionary	(13)	(2)	2	49	(8)
23	HUDCO	Financials	(13)	(17)	(18)	(3)	(23)
24	One 97	Financials	(12)	(23)	(17)	44	(22)
25	APL Apollo Tubes	Materials	(12)	16	18	43	5
26	Dabur India	Consumer Staples	(12)	(7)	(15)	(8)	(9)
27	Phoenix Mills	Real Estate	(12)	(11)	1	(2)	(15)
28	Mphasis	Information Technology	(11)	(25)	(25)	(2)	(22)
29	Godrej Properties	Real Estate	(11)	(22)	(19)	(20)	(19)
30	Coromandel International	Materials	(11)	(13)	(10)	15	(11)
31	Rail Vikas Nigam	Industrials	(11)	(11)	(17)	(16)	(22)
32	Tata Technologies	Information Technology	(10)	(16)	(21)	(14)	(14)
33	IndusInd Bank	Financials	(10)	(2)	12	21	(4)
34	Kalyan Jewellers	Consumer Discretionary	(10)	(19)	(22)	(9)	(20)
35	AU Small Finance Bank	Financials	(10)	(7)	28	78	(9)
36	Bharti Hexacom	Communication Services	(10)	(10)	(11)	12	(16)
37	Suzlon Energy	Industrials	(9)	(20)	(26)	(21)	(19)
38	BSE	Financials	(9)	4	30	113	8
39	L&T Finance Holdings	Financials	(9)	(14)	13	89	(16)
40	Page Industries	Consumer Discretionary	(9)	(16)	(30)	(23)	(14)
41	360 ONE	Financials	(9)	(9)	(2)	23	(12)
42	MRF	Consumer Discretionary	(9)	(10)	(6)	29	(10)
43	MMFSL	Financials	(9)	0	28	32	(14)
44	Yes Bank	Financials	(8)	(12)	(7)	20	(11)
45	PI Industries	Materials	(8)	(11)	(20)	(11)	(9)
46	Exide Industries	Consumer Discretionary	(8)	(17)	(26)	(9)	(14)
47	SBI Cards	Financials	(8)	(19)	(17)	(15)	(18)
48	Container Corp.	Industrials	(8)	(8)	(15)	(10)	(11)
49	Colgate-Palmolive	Consumer Staples	(8)	(9)	(16)	(19)	(5)
50	SRF	Materials	(8)	(13)	(12)	(11)	(15)
51	Alkem Lab	Health Care	(7)	(3)	(0)	15	(1)
52	Aditya Birla Capital	Financials	(7)	(12)	10	97	(11)
53	Dixon Technologies	Consumer Discretionary	(7)	(19)	(40)	(17)	(11)
54	Fortis Healthcare	Health Care	(7)	(1)	(11)	40	(2)
55	Indus Towers	Communication Services	(7)	6	22	36	6
56	IREDA	Financials	(7)	(14)	(21)	(17)	(16)
57	Max Financial	Financials	(6)	(1)	7	60	1
58	Bank of India	Financials	(6)	10	32	65	8
59	Patanjali Foods	Consumer Staples	(6)	(9)	(17)	(15)	(10)
60	PB Fintech	Financials	(6)	(24)	(19)	4	(20)
61	Oberoi Realty	Real Estate	(6)	(11)	(8)	(6)	(12)
62	Hero Motocorp	Consumer Discretionary	(6)	(9)	2	49	(7)
63	Federal Bank	Financials	(6)	3	39	52	1
64	KEI Industries	Industrials	(6)	6	5	41	(3)
65	Voltas	Industrials	(6)	5	3	0	6
66	NMDC	Materials	(5)	4	6	25	(3)
67	Indraprastha Gas	Utilities	(5)	(13)	(25)	(14)	(17)
68	IRB Infrastructure	Industrials	(4)	3	(0)	(3)	1
69	Sona BLW	Consumer Discretionary	(4)	4	19	1	6
70	SAIL	Materials	(4)	16	16	44	5
71	Polycab India	Industrials	(4)	2	3	49	(2)
72	Cochin Shipyard	Industrials	(4)	(10)	(17)	13	(11)
73	LIC Housing Finance	Financials	(4)	(6)	(12)	(5)	(8)
74	GMR Airports Infrastructure	Industrials	(3)	(11)	6	27	(11)
75	NHPC	Utilities	(2)	(3)	(10)	(5)	(6)
76	Marico	Consumer Staples	(2)	4	3	26	1
77	Godfrey Phillips	Consumer Staples	(2)	(27)	(38)	15	(24)
78	Blue Star	Industrials	(1)	9	4	(5)	13
79	Oracle	Information Technology	(1)	(16)	(25)	(8)	(13)
80	Union Bank	Financials	1	19	36	60	18
81	Oil India	Energy	1	19	20	31	13
82	Tube Investments	Consumer Discretionary	1	(4)	(21)	(13)	(3)
83	Premier Energies	Information Technology	2	(14)	(25)	(12)	(6)
84	BHEL	Industrials	3	(6)	17	38	(7)
85	Bharat Forge	Consumer Discretionary	3	25	46	63	21
86	Indian Bank	Financials	3	15	30	84	9
87	Torrent Power	Utilities	4	17	19	14	15
88	Biocon	Health Care	5	2	7	21	(0)
89	Supreme Industries	Materials	5	26	(11)	20	21
90	Bharat Dynamics	Industrials	6	(4)	(14)	23	(8)
91	Mankind Pharma	Health Care	6	1	(14)	2	1
92	Astral	Industrials	7	20	16	34	22
93	Lupin	Health Care	7	12	15	20	12
94	Cummins India	Industrials	7	3	18	69	7
95	Hitachi Energy	Industrials	10	27	25	104	36
96	NTPC Green	Utilities	10	7	(5)	0	3
97	NALCO	Materials	11	47	87	114	30
98	Glenmark Pharma	Health Care	11	14	6	59	11
99	Aurobindo Pharma	Health Care	13	10	20	18	11
100	Adani Total Gas	Utilities	13	2	0	1	7

Source: Bloomberg, Kotak Institutional Equities

Large correction in stock prices of several small-cap. stocks in the past one month

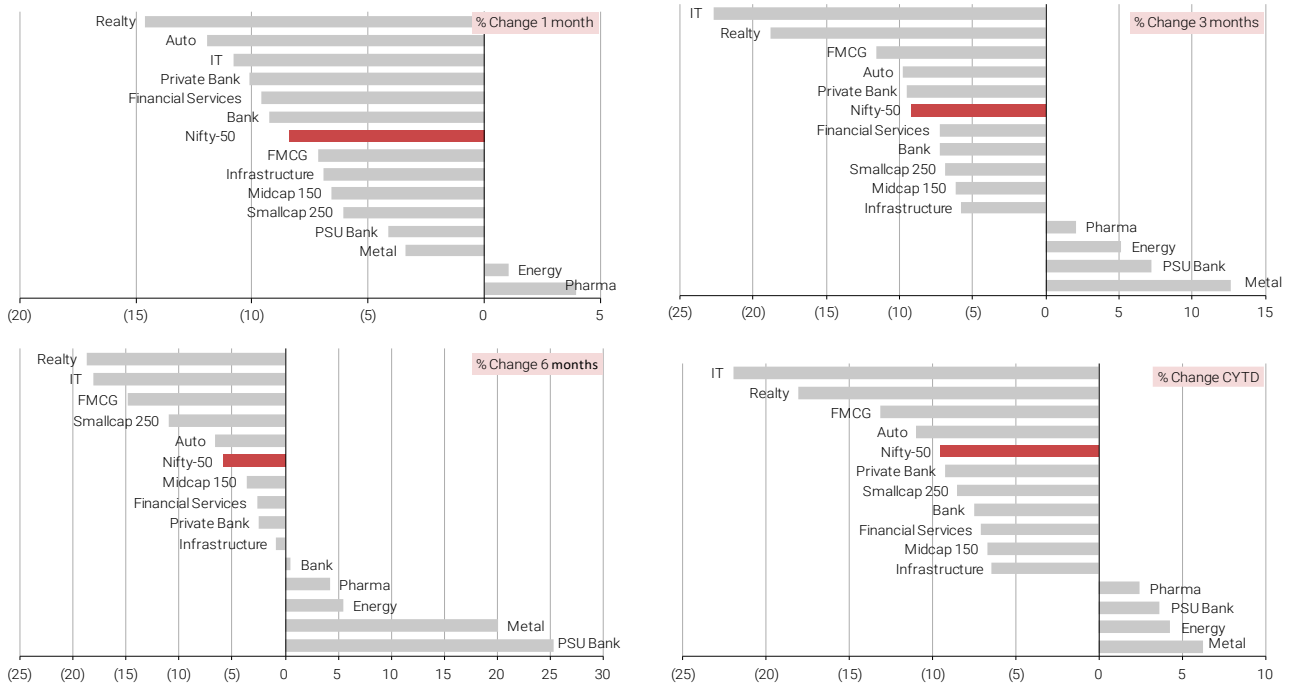
Exhibit 13: 1M, 3M, 6M, 12M and CYTD performance of stocks in Nifty Smallcap Index (sorted on 1M basis)

	Company Name	GICS sector	Performance (%) 1M	3M	6M	12M	YTD
	Nifty Smallcap 100 Index		**(6)**	**(6)**	**(9)**	**8**	**(8)**
1	Ola Electric	Consumer Discretionary	(23)	(35)	(60)	(54)	(35)
2	Inox Wind	Industrials	(23)	(33)	(44)	(48)	(32)
3	Angel One	Financials	(23)	(18)	(4)	9	(9)
4	Firstsource Solution	Industrials	(19)	(35)	(40)	(28)	(34)
5	Sagility India	Industrials	(19)	(21)	(11)	(5)	(24)
6	Afcons Infrastructure	Industrials	(18)	(30)	(38)	(40)	(28)
7	Inventurus Knowl	Health Care	(17)	(17)	(11)	(21)	(17)
8	Manappuram Finance	Financials	(17)	(11)	(12)	24	(17)
9	SignatureGlobal	Real Estate	(17)	(27)	(27)	(24)	(28)
10	Brainbees Solutions	Consumer Discretionary	(17)	(23)	(43)	(41)	(22)
11	Brigade Enterprises	Real Estate	(17)	(25)	(30)	(32)	(25)
12	Five-Star Business Finance	Financials	(16)	(35)	(32)	(43)	(32)
13	Aditya Birla Real Estate	Real Estate	(16)	(29)	(34)	(34)	(29)
14	Hindustan Copper	Materials	(16)	38	88	140	2
15	Chola Financial	Financials	(15)	(23)	(20)	(7)	(18)
16	Affle India	Communication Services	(15)	(18)	(34)	(5)	(23)
17	PG Electroplast	Information Technology	(15)	(6)	(7)	(38)	(7)
18	Anant Raj	Real Estate	(14)	(15)	(12)	(6)	(14)
19	Reliance Power	Utilities	(14)	(31)	(48)	(30)	(32)
20	NBCC	Industrials	(14)	(21)	(19)	9	(29)
21	JBM Auto	Consumer Discretionary	(14)	(10)	(28)	1	(18)
22	PCBL Chemical	Materials	(14)	(13)	(29)	(29)	(10)
23	The Ramco Cement	Materials	(14)	(6)	(4)	21	(6)
24	Swan Corp.	Consumer Discretionary	(13)	(21)	(23)	(11)	(23)
25	Poonawalla Fincorp	Financials	(13)	(9)	(6)	45	(15)
26	Shyam Metalics & Energy	Materials	(13)	(3)	(15)	(5)	(8)
27	IFCI	Financials	(13)	11	1	31	2
28	Trident	Consumer Discretionary	(13)	(16)	(19)	(6)	(13)
29	Devyani International	Consumer Discretionary	(13)	(13)	(38)	(25)	(21)
30	CDSL	Financials	(12)	(21)	(22)	11	(16)
31	IRCON International	Industrials	(12)	(13)	(21)	(5)	(23)
32	Cyient	Information Technology	(11)	(23)	(26)	(26)	(19)
33	HBL Power System	Industrials	(11)	(15)	(21)	63	(26)
34	Newgen Software	Information Technology	(11)	(47)	(49)	(52)	(47)
35	Amber Enterprises	Consumer Discretionary	(11)	5	(13)	6	8
36	Piramal Pharma	Health Care	(11)	(17)	(27)	(28)	(15)
37	Jyoti CNC Auto	Industrials	(11)	(21)	(16)	(22)	(23)
38	Aegis Logistics	Energy	(10)	(15)	(9)	(13)	(11)
39	BLS International	Industrials	(10)	(21)	(32)	(23)	(22)
40	Aptus Value Hou.	Financials	(10)	(22)	(32)	(24)	(19)
41	Nuvama Wealth	Financials	(10)	(19)	(8)	14	(20)
42	Kaynes Tech	Information Technology	(9)	(13)	(48)	(15)	(8)
43	Jupiter Wagons	Industrials	(9)	4	(19)	(8)	(20)
44	Aegis Vopak Term	Energy	(9)	(23)	(22)	NA	(22)
45	CAMS Services	Industrials	(9)	(12)	(14)	(0)	(10)
46	Mahanagar Gas	Utilities	(9)	(6)	(19)	(19)	(8)
47	Gland Pharma	Health Care	(9)	(1)	(18)	5	(4)
48	Narayana Hrudayalaya	Health Care	(9)	(9)	(3)	8	(10)
49	PNB Housing	Financials	(9)	(17)	(6)	(3)	(18)
50	KEC International	Industrials	(8)	(19)	(36)	(22)	(24)
51	Amara Raja Energy & Mobility	Industrials	(8)	(15)	(23)	(19)	(13)
52	IIFL Finance	Financials	(8)	(17)	11	54	(21)
53	KFin Technologies	Financials	(8)	(14)	(18)	(1)	(16)
54	Gillette India	Consumer Staples	(8)	(1)	(19)	2	(4)
55	Redington	Information Technology	(7)	(13)	1	5	(10)
56	Karur Vysya Bank	Financials	(7)	21	40	84	12
57	BEML	Industrials	(7)	(5)	(27)	30	(13)
58	CreditAccess Gramin	Financials	(7)	(9)	(9)	27	(8)
59	Crompton Greaves Consumer	Consumer Discretionary	(7)	(3)	(21)	(31)	(2)
60	Deepak Fertilisers	Materials	(6)	(21)	(30)	(14)	(24)
61	Capri Global	Financials	(6)	(9)	(10)	5	(8)
62	Wockhardt	Health Care	(6)	(3)	(14)	(1)	(10)
63	Chambal Fertilisers	Materials	(6)	0	(19)	(23)	(10)
64	Navin Fluorine International	Materials	(6)	2	30	51	5
65	Delhivery	Industrials	(5)	(1)	(13)	70	1
66	Atul	Materials	(5)	6	(1)	14	3
67	Aarti Industries	Materials	(4)	25	15	14	19
68	Star Health Insu	Financials	(4)	(1)	4	31	1
69	Dr Lal Pathlabs	Health Care	(4)	(4)	(18)	9	(7)
70	Triveni Turbine	Industrials	(4)	(12)	(12)	(10)	(13)
71	NCC	Industrials	(3)	(7)	(28)	(20)	(7)
72	Whirlpool India	Consumer Discretionary	(3)	(7)	(36)	(8)	(4)
73	Neuland Laboratories	Health Care	(3)	(22)	(22)	15	(17)
74	Garden Reach	Industrials	(3)	3	(6)	87	(1)
75	International Gemmological	Industrials	(3)	0	(13)	9	(4)
76	Indian Energy Exchange	Financials	(3)	(14)	(15)	(22)	(9)
77	Zensar Technologies	Information Technology	(2)	(24)	(31)	(15)	(20)
78	Tata Chemicals	Materials	(2)	(10)	(29)	(15)	(11)
79	Kajaria Ceramics	Industrials	(1)	(10)	(23)	8	(3)
80	Castrol India	Materials	(1)	1	(6)	(21)	(4)
81	MRPL	Energy	0	29	51	71	26
82	Himadri Special	Materials	0	(3)	(4)	12	(7)
83	Radico Khaitan	Consumer Staples	1	(11)	(0)	31	(13)
84	Aadhar Housing Finance	Financials	1	(3)	(6)	12	(2)
85	Welspun Corp	Materials	2	6	(4)	3	4
86	Laurus Labs	Health Care	3	3	17	79	(6)
87	Anand Rathi Wealth	Financials	3	5	3	86	(1)
88	MCX	Financials	3	24	63	165	13
89	CESC	Utilities	3	(6)	(0)	14	(5)
90	Jindal Saw	Materials	4	23	(4)	(23)	18
91	Kalpataru Projects	Industrials	5	(1)	(11)	32	(4)
92	Bandhan Bank	Financials	5	19	8	26	22
93	Zen Technologies	Industrials	5	2	(4)	18	4
94	Go Digit General	Financials	8	1	(4)	14	(0)
95	GE Shipping	Energy	11	34	50	66	32
96	J B Chemicals	Health Care	12	19	25	42	17
97	Aster DM Healthcare	Health Care	13	10	8	58	11
98	Data Pattern	Industrials	20	28	23	110	27
99	Natco Pharma	Health Care	21	12	18	30	13
100	Tejas Networks	Information Technology	32	(8)	(26)	(35)	(2)

Source: Bloomberg, Kotak Institutional Equities

Barring pharma and energy, all sectors witnessed decent to large corrections over the past one month

Exhibit 14: Performance of various sectors (%)



Source: Bloomberg, Kotak Institutional Equities

Most large-cap. consumption stocks are trading at expensive valuations

Exhibit 15: 12-m forward P/E multiple of large-cap. consumption stocks in KIE universe, March fiscal year-ends, 2011-26E

		12-m forward P/E multiple (X)															
Company	Sector	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Current
Bajaj Auto	Automobiles & Components	14	14	14	16	15	16	18	17	17	12	19	18	17	30	22	24
Eicher Motors	Automobiles & Components	15	14	16	24	38	33	33	29	21	17	29	25	23	25	29	30
Hero Motocorp	Automobiles & Components	14	15	14	16	16	17	17	18	13	10	16	14	13	20	15	18
Mahindra & Mahindra	Automobiles & Components	14	14	14	15	19	18	20	19	15	9	20	18	16	21	23	21
Maruti Suzuki	Automobiles & Components	14	16	13	17	21	18	22	26	23	18	28	30	23	28	22	23
Samvardhana Motherson	Automobiles & Components	17	13	14	19	28	21	25	25	19	11	25	22	15	20	20	24
TVS Motor	Automobiles & Components	11	7	7	15	22	23	28	30	23	19	32	24	27	40	35	37
Asian Paints	Commodity Chemicals	23	27	33	36	38	38	45	44	51	48	64	65	54	48	49	44
Berger Paints	Commodity Chemicals	17	17	25	27	36	35	45	44	49	58	81	61	49	52	47	38
Ambuja Cements	Construction Materials	18	18	14	24	23	29	34	29	26	16	25	20	26	38	31	28
Shree Cement	Construction Materials	NA	NA	14	22	46	34	36	31	37	34	44	32	41	34	57	37
UltraTech Cement	Construction Materials	18	18	16	24	23	28	34	31	32	20	32	26	30	31	37	31
Havells India	Consumer Durables & Apparel	13	16	16	20	31	32	42	36	46	32	56	49	49	59	52	43
LG Electronics	Consumer Durables & Apparel	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	45
Polycab	Consumer Durables & Apparel	NA	NA	NA	NA	NA	NA	NA	NA	NA	13	22	31	30	39	33	35
Britannia Industries	Consumer Staples	21	28	24	23	39	33	39	49	53	41	45	41	47	49	50	48
Colgate-Palmolive (India)	Consumer Staples	24	30	28	32	40	32	40	38	40	37	41	38	36	52	42	37
Dabur India	Consumer Staples	23	24	26	29	35	30	33	36	40	43	48	44	44	41	43	38
Godrej Consumer Products	Consumer Staples	20	22	30	31	31	35	37	43	38	29	39	36	45	52	49	42
Hindustan Unilever	Consumer Staples	26	29	28	33	40	39	41	47	50	56	58	47	52	46	47	44
Marico	Consumer Staples	24	26	27	25	35	37	41	42	39	31	40	43	40	39	46	46
Nestle India	Consumer Staples	35	37	34	35	44	41	47	50	51	63	65	62	63	72	62	61
Tata Consumer Products	Consumer Staples	14	18	17	18	19	16	18	26	23	31	50	53	46	61	56	52
Varun Beverages	Consumer Staples	NA	NA	NA	NA	NA	NA	32	36	42	28	36	39	45	67	52	39
United Spirits	Consumer Staples	22	16	37	59	90	57	53	58	43	33	41	53	48	57	58	50
Apollo Hospitals	Health Care Services	25	29	30	31	43	41	40	41	43	33	59	54	50	61	49	46
Max Healthcare	Health Care Services	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	35	34	34	51	58	49
Indian Hotels	Hotels & Restaurants	26	23	39	48	66	67	47	51	54	28	100	70	40	51	53	39
Avenue Supermarts	Retailing	NA	NA	NA	NA	NA	NA	54	77	73	78	90	100	71	86	75	71
Titan Company	Retailing	30	28	25	28	33	31	41	56	54	44	68	75	57	74	56	61
Trent	Retailing	NA	45	43	36	40	27	44	56	53	59	169	112	79	109	88	59
Pidilite Industries	Specialty Chemicals	21	22	27	26	42	34	37	43	54	49	64	74	62	69	60	52

Source: Companies, FactSet, Kotak Institutional Equities

Most mid-cap. consumption stocks are trading at expensive valuations

Exhibit 16: 12-m forward P/E multiple of mid-cap. consumption stocks in KIE universe, March fiscal year-ends, 2011-26E

		12-m forward P/E multiple (X)															
Company	Sector	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Current
Balkrishna Industries	Automobiles & Components	6	8	7	9	11	11	17	21	20	15	26	24	24	27	25	27
Exide Industries	Automobiles & Components	17	19	17	19	21	18	24	22	20	12	17	13	14	20	24	21
Schaeffler India	Automobiles & Components	11	14	12	17	31	27	31	29	30	25	35	37	42	41	45	45
SKF	Automobiles & Components	15	15	14	19	28	26	28	26	27	18	30	35	32	33	31	28
Timken	Automobiles & Components	NA	NA	NA	NA	40	24	31	34	29	23	39	44	41	49	42	51
Indigo Paints	Commodity Chemicals	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	93	47	32	33	28	22
Kansai Nerolac	Commodity Chemicals	20	19	26	24	31	36	38	43	41	32	47	37	30	27	26	21
Aditya Birla Fashion and Retail	Consumer Durables & Apparel	NA	NA	NA	NA	NA	55	92	61	55	43	103	98	56	NA	NA	NA
Campus Activewear	Consumer Durables & Apparel	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	50	49	42	37
Cello World	Consumer Durables & Apparel	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	41	27	22
Crompton Greaves Consumer	Consumer Durables & Apparel	NA	NA	NA	NA	NA	NA	39	36	31	24	40	33	29	29	33	26
Eureka Forbes	Consumer Durables & Apparel	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	36	51	47	33
Page Industries	Consumer Durables & Apparel	24	26	26	36	58	46	48	59	54	40	64	72	53	51	58	41
Vedant Fashions	Consumer Durables & Apparel	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	78	52	44	38	20
Voltas	Consumer Durables & Apparel	14	13	9	20	24	23	28	31	32	23	44	51	41	49	45	50
Whirlpool	Consumer Durables & Apparel	NA	15	14	21	34	28	41	43	38	35	46	42	44	45	29	22
United Breweries	Consumer Staples	47	54	58	68	63	51	51	51	52	35	51	55	56	64	67	63
Dr Lal Pathlabs	Health Care Services	NA	NA	NA	NA	NA	53	39	35	36	38	67	57	44	45	41	39
Metropolis Healthcare	Health Care Services	NA	NA	NA	NA	NA	NA	NA	NA	NA	33	50	41	34	49	38	37
Narayana Hrudayalaya	Health Care Services	NA	NA	NA	NA	NA	136	47	44	37	34	39	39	26	31	38	32
Chalet Hotels	Hotels & Restaurants	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	146	29	45	37	26
Devyani International	Hotels & Restaurants	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	89	53	86	104	177
Jubilant Foodworks	Hotels & Restaurants	36	48	41	40	54	52	54	58	48	45	75	58	51	69	102	63
Lemon Tree Hotels	Hotels & Restaurants	NA	NA	NA	NA	NA	NA	NA	NA	64	33	NA	173	39	36	36	26
Sapphire Foods	Hotels & Restaurants	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	106	54	88	103	149
Westlife Foodworld	Hotels & Restaurants	NA	NA	NA	119	264	139	120	107	69	49	113	94	67	91	135	192
Metro Brands	Retailing	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	68	41	66	58	47

Source: Companies, FactSet, Kotak Institutional Equities

Most investment stocks are trading at expensive valuations

Exhibit 17: 12-m forward P/E multiple of investment stocks in KIE universe, March fiscal year-ends, 2011-26E

		12-m forward P/E multiple (X)															
Company	Sector	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Current
ABB	Capital Goods	41	48	32	60	67	60	51	43	53	42	64	69	73	87	56	67
Bharat Electronics	Capital Goods	14	12	10	11	22	20	21	18	13	10	15	19	21	35	39	46
BHEL	Capital Goods	15	10	8	16	21	27	26	20	17	7	28	28	28	78	34	33
Carborundum Universal	Capital Goods	13	13	13	17	21	18	23	24	25	13	30	32	37	42	37	33
Cochin Shipyard	Capital Goods	NA	NA	NA	NA	NA	NA	NA	16	11	5	NA	6	14	37	44	41
Cummins India	Capital Goods	18	21	18	25	29	26	28	23	24	13	35	32	36	50	39	49
IRB Infrastructure	Capital Goods	13	12	7	7	13	12	11	8	6	4	8	26	17	32	19	23
Kalpataru Projects	Capital Goods	9	8	6	7	15	15	16	19	16	5	10	10	12	20	17	17
KEC International	Capital Goods	8	8	7	9	13	12	15	19	13	7	15	13	18	23	20	14
L&T	Capital Goods	21	16	15	22	28	21	23	23	19	11	19	21	22	31	26	24
Siemens	Capital Goods	28	28	29	53	75	50	50	37	37	30	52	52	59	76	58	57
Thermax	Capital Goods	16	15	18	24	33	28	36	35	27	23	43	48	43	65	49	43
Amber Enterprises	Electronic Manufacturing Services	NA	NA	NA	NA	NA	NA	NA	31	19	19	51	43	29	48	62	48
Avalon Technologies	Electronic Manufacturing Services	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	36	50	39
Cyient DLM	Electronic Manufacturing Services	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	49	32	24
Dixon Technologies	Electronic Manufacturing Services	NA	NA	NA	NA	NA	NA	NA	37	27	25	64	63	40	70	64	55
Kaynes Technology	Electronic Manufacturing Services	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	75	73	41
Syrma SGS Technology	Electronic Manufacturing Services	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	25	42	36	37

Source: Companies, FactSet, Kotak Institutional Equities

Tier-1 banks are fairly valued in general and expensive in a few cases; tier-2 and tier-3 banks and NBFCs are trading at attractive valuations

Exhibit 18: 12-m forward P/B multiple of banks in KIE universe, March fiscal year-ends, 2011-26E

		12-m forward P/B multiple (X)															
Company	Sector	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Current
AU Small Finance Bank	Banks	NA	NA	NA	NA	NA	NA	NA	7.0	4.6	3.0	5.9	4.6	3.1	2.6	2.1	3.0
Axis Bank	Banks	2.6	1.8	1.7	1.6	2.6	1.8	2.1	1.9	2.7	1.1	1.9	1.9	1.8	1.9	1.7	1.7
Bandhan Bank	Banks	NA	NA	NA	NA	NA	NA	NA	5.2	4.9	1.7	2.7	2.6	1.4	1.2	0.9	1.1
Bank of Baroda	Banks	1.7	1.1	0.8	0.9	0.9	1.0	1.2	0.9	0.9	0.4	0.5	0.7	0.8	1.1	0.9	0.9
Canara Bank	Banks	1.3	0.9	0.7	0.5	0.6	0.5	0.9	0.9	1.3	0.2	0.6	0.6	0.7	1.2	0.8	1.0
City Union Bank	Banks	1.5	1.4	1.4	1.3	2.0	1.7	2.3	2.6	2.8	1.6	1.9	1.4	1.2	1.1	1.2	1.6
DCB Bank	Banks	1.3	1.3	1.0	1.2	1.9	1.2	2.2	1.8	2.0	0.8	0.9	0.6	0.7	0.7	0.6	0.8
Equitas Small Finance Bank	Banks	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	1.8	1.4	1.5	1.6	0.9	1.0
Federal Bank	Banks	1.3	1.2	1.2	1.1	1.3	0.9	1.7	1.4	1.4	0.5	NA	NA	NA	1.1	1.3	1.6
HDFC Bank	Banks	3.8	3.5	3.5	3.5	3.6	3.2	3.8	3.8	3.8	2.5	3.6	3.0	2.8	2.2	2.6	2.1
ICICI Bank	Banks	2.2	1.6	1.7	1.8	2.1	1.5	1.8	1.7	2.3	1.7	2.5	2.7	2.7	2.9	3.0	2.4
Indusind Bank	Banks	2.8	2.8	2.5	2.6	3.8	2.9	3.7	4.0	3.4	0.6	1.6	1.4	1.3	1.7	0.7	1.0
Karur Vysya Bank	Banks	1.7	1.3	1.4	1.1	1.5	1.1	1.4	1.3	1.0	0.3	0.7	0.5	0.9	1.3	1.3	1.8
Punjab National Bank	Banks	1.6	1.1	0.7	0.8	0.7	0.6	1.0	0.6	1.0	0.4	0.5	0.4	0.6	1.3	0.8	0.9
State Bank of India	Banks	1.9	1.7	1.4	1.3	1.6	1.2	1.5	1.2	1.4	0.8	1.3	1.5	1.3	1.7	1.5	1.7
Ujjivan Small Finance Bank	Banks	NA	NA	NA	NA	NA	NA	NA	NA	NA	1.4	1.6	0.9	1.0	1.4	1.0	1.4
Utkarsh Small Finance Bank	Banks	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	1.4	0.9	0.8
Union Bank	Banks	1.4	0.9	0.8	0.5	0.6	0.6	0.7	0.5	0.6	0.3	0.5	0.4	0.6	1.1	0.8	1.0
Yes Bank	Banks	2.3	2.2	2.0	1.7	2.5	2.2	3.1	2.4	1.9	0.5	1.2	0.9	1.0	1.5	1.0	1.1

Source: Companies, FactSet, Kotak Institutional Equities

NBFCs are trading at fair valuations

Exhibit 19: 12-m forward P/B multiple of financial stocks in KIE universe, March fiscal year ends, 2011-26E

Company	Sector	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Current
12-m forward P/B multiple (X)																	
Aadhar Housing Finance	Diversified Financials	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	2.5	2.4
Aavas Financiers	Diversified Financials	NA	NA	NA	NA	NA	NA	NA	NA	4.7	3.9	7.0	6.4	3.4	2.4	3.3	1.6
Aptus Value Housing Finance	Diversified Financials	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	5.2	3.1	3.6	3.0	2.0
Bajaj Finance	Diversified Financials	1.6	1.4	1.5	1.9	3.5	4.2	5.7	5.3	7.3	3.4	7.1	8.4	5.2	5.0	5.0	4.0
Bajaj Housing Finance	Diversified Financials	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	4.4	2.7
Cholamandalam	Diversified Financials	1.6	1.6	1.8	1.6	2.6	2.8	3.2	3.8	3.2	1.3	4.1	4.5	3.9	4.3	4.5	3.8
Five Star Business Finance	Diversified Financials	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	3.4	3.5	2.9	1.3
Home First Finance	Diversified Financials	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	2.7	3.9	3.2	3.3	3.0	2.2
India Shelter	Diversified Financials	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	2.5	2.8	2.0
L&T Finance	Diversified Financials	NA	1.6	2.1	1.8	1.4	1.5	2.6	2.8	2.0	0.6	1.2	0.9	0.9	1.6	1.4	2.2
LIC Housing Finance	Diversified Financials	2.2	2.1	1.5	1.4	2.3	2.3	2.5	1.9	1.6	0.6	1.0	0.8	0.7	1.0	0.8	0.6
Mahindra & Mahindra Financial	Diversified Financials	2.7	2.0	2.2	2.5	2.3	2.2	2.7	3.1	2.3	0.8	1.6	1.2	1.6	1.7	1.6	1.8
Muthoot Finance	Diversified Financials	NA	1.1	1.3	1.4	1.5	1.2	2.1	1.9	2.4	1.7	2.7	2.5	1.6	2.1	2.9	2.9
SBFC	Diversified Financials	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	3.0	2.8	2.5
Shriram Finance	Diversified Financials	3.0	1.9	1.8	1.8	2.4	2.0	2.0	2.3	1.7	0.7	1.6	1.1	1.0	1.6	2.0	2.2
Tata Capital	Diversified Financials	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	2.6
12-m forward P/E multiple (X)																	
360 One	Capital Markets	NA	NA	NA	NA	NA	NA	NA	NA	NA	23	26	23	20	27	31	29
ABSL AMC	Capital Markets	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	22	13	18	19	25
Angel One	Capital Markets	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	17	10	19	16	16
Billionbrains Garage Ventures	Capital Markets	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	35
CAMS	Capital Markets	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	37	34	29	35	36	30
CRISIL	Capital Markets	20	27	22	31	41	37	33	36	25	22	34	45	40	50	38	33
HDFC AMC	Capital Markets	NA	NA	NA	NA	NA	NA	NA	NA	34	31	41	29	23	38	31	31
ICRA	Capital Markets	16	18	16	24	41	39	45	34	22	20	36	32	27	31	27	24
Kfin Technologies	Capital Markets	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	25	36	44	34
Nippon AMC	Capital Markets	NA	NA	NA	NA	NA	NA	NA	25	24	24	34	26	17	27	25	31
UTI AMC	Capital Markets	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	19	20	14	15	16	14

Source: Companies, FactSet, Kotak Institutional Equities

Most outsourcing stocks have seen derating in recent months

Exhibit 20: 12-m forward P/E multiple of outsourcing stocks in KIE universe, March fiscal year-ends, 2011-26E

		12-m forward P/E multiple (X)															
Company	Sector	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Current
Coforge	IT Services	6	7	7	9	9	10	9	15	16	13	29	32	22	30	39	21
Cyient	IT Services	10	8	8	11	14	12	12	17	14	5	16	18	16	25	17	14
eClerx Services	IT Services	13	11	9	11	17	13	15	14	17	6	12	16	12	19	20	18
Firstsource Solutions	IT Services	6	4	4	6	7	7	9	10	8	4	15	13	13	21	29	17
HCL Technologies	IT Services	16	13	14	15	18	13	14	14	14	10	18	21	18	24	23	19
Hexaware Technologies	IT Services	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	28	17
Infosys	IT Services	22	17	16	15	19	18	15	16	18	15	26	30	21	23	22	17
KPIT Technologies	IT Services	NA	NA	NA	NA	NA	NA	NA	NA	NA	4	20	48	52	53	39	22
L&T Technology Services	IT Services	NA	NA	NA	NA	NA	NA	16	23	21	14	31	46	28	38	31	22
LTM	IT Services	NA	NA	NA	NA	NA	NA	12	18	17	15	32	38	27	27	25	21
Mphasis	IT Services	10	11	10	11	11	13	14	17	15	10	23	36	18	25	25	19
Persistent Systems	IT Services	11	8	10	13	17	18	13	14	12	11	27	42	29	43	49	33
Sagility	IT Services	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	25	16
Tata Elxsi	IT Services	NA	NA	10	21	30	28	22	23	18	14	39	88	44	51	35	32
Tata Technologies	IT Services	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	50	35	28
TCS	IT Services	23	18	20	19	20	18	17	19	22	20	30	31	24	28	24	16
Tech Mahindra	IT Services	11	10	11	13	15	13	12	16	14	11	16	21	16	23	23	18
Wipro	IT Services	18	15	14	15	16	14	14	15	15	11	20	24	15	21	20	15
Aurobindo Pharma	Pharmaceuticals	9	7	7	12	18	17	14	12	15	8	15	12	12	17	15	18
Cipla	Pharmaceuticals	21	18	18	19	30	20	24	20	22	18	24	25	20	27	23	24
Divis Laboratories	Pharmaceuticals	20	17	17	19	23	20	16	25	28	31	39	40	36	44	57	54
Dr Reddy's Laboratories	Pharmaceuticals	19	18	17	18	23	20	21	19	21	21	24	21	18	19	16	24
Emcure Pharmaceuticals	Pharmaceuticals	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	23	25
JB Chemicals & Pharma	Pharmaceuticals	NA	NA	NA	8	11	13	15	NA	13	13	22	24	28	36	31	35
Lupin	Pharmaceuticals	18	20	20	20	31	20	20	19	21	21	27	22	24	32	23	24
Mankind Pharma	Pharmaceuticals	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	41	43	39
Sun Pharmaceuticals	Pharmaceuticals	22	23	23	20	29	24	21	25	23	17	23	26	24	35	31	33
Torrent Pharmaceuticals	Pharmaceuticals	14	13	12	15	22	17	21	22	30	29	30	32	33	43	43	54
SRF	Specialty Chemicals	3	3	5	7	14	14	15	16	18	16	24	38	29	37	48	34

Source: Companies, FactSet, Kotak Institutional Equities

Several PSUs trade at extremely high market caps relative to their profits, net worth or assets

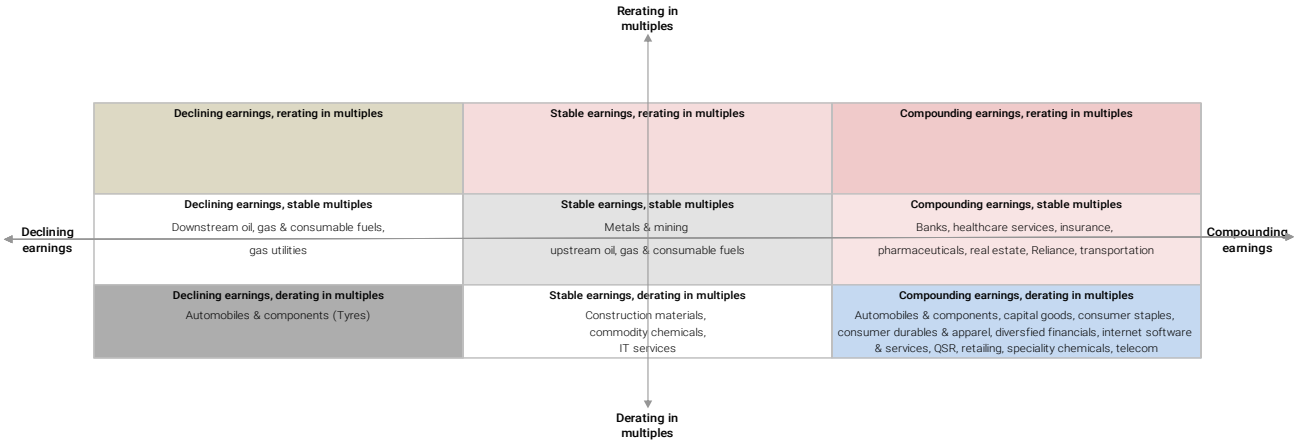
Exhibit 21: Market cap. of select non-financial PSU companies versus their fundamentals, March fiscal year-ends, 2024-25 (Rs bn)

	Market cap.	2024 (Rs bn)						2025 (Rs bn)					
Company	(Rs bn)	Revenues	PBT	Other income	PAT	Net worth	Gross block	Revenues	PBT	Other income	PAT	Net worth	Gross block
Bharat Dynamics	495	24	8	4	6	36	15	33	7	4	5	40	16
BHEL	933	239	2	6	3	249	73	283	7	5	5	247	77
Cochin Shipyard	380	38	11	3	8	50	14	48	11	4	8	56	36
Fertilizers & Chemicals Travancore	547	51	–	2	4	13	10	41	1	2	–	14	12
Garden Reach Shipbuilders & Engineers	278	36	5	3	4	14	8	51	7	3	5	21	8
Hindustan Aeronautics	2,684	304	102	19	76	290	126	310	109	26	84	350	135
Hindustan Copper	510	17	4	1	3	22	22	21	6	1	5	27	26
HUDCO	354	78	28	2	21	166	2	103	36	–	27	180	2
IRFC	1,306	266	64	–	64	492	–	272	65	–	65	527	–
Ircon International	128	125	102	19	9	59	10	108	9	4	7	63	18
IREDA	329	49	17	–	13	86	5	67	21	–	17	103	6
ITI	249	13	(6)	–	(6)	17	30	36	(2)	1	(2)	16	31
KIOCL	194	19	(1)	1	(1)	19	6	6	(2)	1	(2)	17	6
Mazagon Dock	986	95	24	11	19	56	13	114	31	11	24	79	20
NBCC	234	103	6	2	5	22	2	120	8	2	6	25	6
NHPC	751	96	50	18	36	387	340	104	48	16	30	397	359
NLC India	368	130	29	20	19	165	364	153	37	17	26	187	456
Rail Vikas Nigam	583	219	21	13	16	87	5	199	17	11	13	96	12
Railtel	92	26	3	1	2	18	25	35	4	1	3	20	29
SJVN	284	26	12	4	9	141	151	31	11	3	8	142	165

Source: Companies, FactSet, Kotak Institutional Equities

Many sectors fall in the category of "compounding in earnings, derating in multiples"

Exhibit 22: Categorization of sectors into various buckets based on expected earnings/book trajectory and multiples rerating/derating



Source: Kotak Institutional Equities estimates

We prefer stocks with compounding in earnings/book and lower risks of derating in multiples

Exhibit 23: KIE large-cap. model portfolio, March 12, 2026

Company	Price (Rs) 12-Mar-26	KIE weight (%)
Automobiles & Components		
Mahindra & Mahindra	3,031	2.9
Automobiles & Components		**2.9**
Banks		
Axis Bank	1,235	6.9
Canara Bank	140	1.3
HDFC Bank	833	8.6
ICICI Bank	1,267	9.4
State Bank of India	1,085	7.2
Banks		**33.4**
Capital Goods		
ABB	6,409	2.4
L&T	3,720	4.0
Capital Goods		**6.4**
Capital Markets		
Billionbrains Garage Ventures	158	1.5
Capital Markets		**1.5**
Consumer Staples		
ITC	304	2.0
Consumer Staples		**2.0**
Diversified Financials		
Aadhar Housing Finance	476	1.6
Bajaj Finserv	1,771	4.8
Shriram Finance	1,032	1.6
Diversified Financials		**7.9**
Electronic Manufacturing Services		
Dixon Technologies	10,803	1.3
Electronic Manufacturing Services		**1.3**
Health Care Services		
Apollo Hospitals	7,575	3.3
Dr Lal Pathlabs	1,378	1.6
Health Care Services		**4.9**

	Price (Rs) 12-Mar-26	KIE weight (%)
Insurance		
HDFC Life Insurance	646	1.8
ICICI Prudential Life	593	2.0
Insurance		**3.8**
Internet Software & Services		
Eternal	221	2.1
Swiggy	281	1.5
Internet Software & Services		**3.6**
IT Services		
Infosys	1,266	5.2
Tech Mahindra	1,350	1.4
IT Services		**6.6**
Oil, Gas & Consumable Fuels		
Reliance Industries	1,392	9.4
Oil, Gas & Consumable Fuels		**9.4**
Pharmaceuticals		
Cipla	1,324	1.6
Mankind Pharma	2,208	1.3
Sun Pharmaceuticals	1,825	1.5
Pharmaceuticals		**4.5**
Real Estate		
Lodha Developers	869	1.0
Real Estate		**1.0**
Telecommunication Services		
Bharti Airtel	1,801	5.2
Telecommunication Services		**5.2**
Transportation		
Adani Ports and SEZ	1,392	3.2
Interglobe Aviation	4,252	2.5
Transportation		**5.7**
Nifty-50 Index	**23,639**	**100**

Notes:

(a) The model portfolio is not advise or recommendation or a suggestion for buying or selling securities as shown. It is only an indicative portfolio to show how a portfolio can be built. Please consult an expert to build your portfolio.

(b) Please refer to the end of report for factsheet.

Source: Kotak Institutional Equities estimates

Factsheet for model portfolio

Sr. No.	Particulars	Data
1	Launch Date	Jan 2005
2	Frequency of portfolio review and update	As and when required
3	Methodology for selection of constituent securities	Fundamental analysis
4	Methodology for selection of constituent securities	KIE coverage
5	Labelling	Large-cap. and mid-cap.
6	Investment Horizon	12 months and above
7	Risk disclosures	Equity Market Risk
8	Benchmarking	Nifty-50 Index

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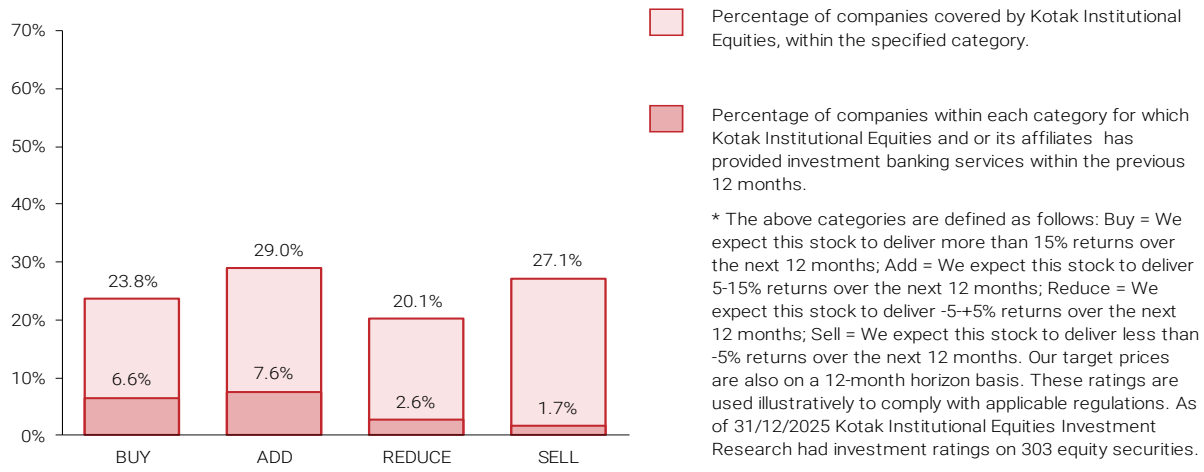

Source: Kotak Institutional Equities

As of December 31, 2025

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Corporate Office

Kotak Securities Ltd.
27 BKC, Plot No. C-27, "G Block" Bandra Kurla
Complex, Bandra (E) Mumbai 400 051, India
Tel: +91-22-43360000

Overseas Affiliates

Kotak Mahindra (UK) Ltd
8th Floor, Portsoken House
155-157 Minories, London EC3N 1LS
Tel: +44-20-7977-6900

Kotak Mahindra Inc
PENN 1,1 Pennsylvania Plaza,
Suite 1720, New York, NY 10119, USA
Tel: +1-212-600-8858

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Head of Customer Care	Mr. Tabrez Anwar		022-42858208	ks.servicehead@kotak.com
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